



Entegris, Inc.

NASDAQ: ENTG

The purity layer of the semiconductor supply chain

A single-name institutional brief on Entegris — the consumables-and-purity franchise levered to advanced-node manufacturing — updated for the 01 July 2026 electronic-grade hydrofluoric-acid supply report and the intraday tape supplied by the client. Sourced to SEC filings, company disclosure and recognised financial media; every figure carries an as-of date.

FUNDAMENTAL
VERDICT

HOLD

12-mo target \$180 · band
\$155–185

TECHNICAL
(INTRADAY)

TRIM

Do not chase the +5.16% pop

LAST PRICE

\$179.93

Intraday, client chart · +5.16%

THE QUESTION

Does the HF news **change anything?**

Short answer: it firms the demand leg of the thesis and is a plausible partial driver of today's move — but it does not move the 12-month verdict or the fair-value band.

TIGER BROKERS · 01 JUL 2026 · 10:17

TSMC, Samsung & SK Hynix scramble for electronic-grade hydrofluoric acid

Industry sources report the three leading foundry/memory makers buying up electronic-grade HF. Middle-East geopolitical tension has pushed sulfur, sulfuric acid and anhydrous HF higher since the start of the year, lifting electronic-grade HF costs; some suppliers have raised prices **roughly 20–30% year-to-date**.

How this actually transmits to Entegris

The instinct is to read "HF price spike" as a direct windfall. It is not — and the honest read matters more than the convenient one:

- ◆ **Entegris is a peripheral HF supplier, not a price-setter.** It is named in the electronic-grade HF supplier set, but the market is led by Stella Chemifa, Morita, Solvay, Honeywell and Chinese producers. A 20–30% HF price move is *not* a first-order revenue line for ENTG.
- ◆ **The real signal is demand tightness at the leading edge.** TSMC, Samsung and SK Hynix "scrambling" for materials is a tell that advanced-node and HBM/AI capacity is running hot. That utilisation is exactly what pulls Entegris' filtration, fluid-handling and gas/liquid-purity consumables (the Advanced Purity Solutions engine, 29.1% segment margin). **Demand-positive, and it corroborates the content-per-wafer thesis.**
- ◆ **Input-cost inflation is a new watch-item for the Materials Solutions segment.** Higher sulfuric acid / anhydrous HF feed into ENTG's own wet chemistries. In a >70% supply-gap market Entegris should hold pricing power, but MS margin (22.0%) is the line to watch on the 30 July print.

NET EFFECT ON THE CALL

No change to HOLD · \$180 target · \$155–185 band

This is a thematic tailwind confirmation, not a re-rating catalyst for ENTG specifically. If anything it *reinforces* the standing discipline — because a theme-driven, sector-wide materials-tightness pop is precisely the kind of strength the technical call says not to chase. It firms conviction on the demand side and adds one margin watch-item. Accumulate on weakness toward the mid-\$150s–low-\$160s; let the 30 July results confirm both the demand pull and the input-cost pass-through before paying up.

PART A

Fundamental Research Brief

A consumables-heavy purity franchise compounding through a soft cycle, with deleveraging as the near-term value lever.

Q1'26 REVENUE	ADJ. EBITDA MARGIN	ADJ. EPS	NET LEVERAGE
\$811.9M	27.8%	\$0.86	3.6x
+5% YoY · beat ~\$807.8M	\$226.1M	vs ~\$0.75 cons. (+15%)	target ~3.0x by YE'26

Investment Thesis

- ◆ **Margin expansion in a mixed WFE tape.** Q1 FY2026 (rep. 30 Apr 2026) revenue \$811.9M, +5% YoY, above consensus, with adjusted operating margin 23.6% and adjusted EBITDA margin 27.8%.
- ◆ **Deleveraging transfers value to equity.** Net debt \$3.3B / 3.6x, down from 3.8x at end-2025, targeting ~3.0x by YE2026 — value creation that needs no multiple expansion.
- ◆ **Content-per-wafer outgrows unit volume.** Materials and filtration content rises with each node transition (EUV, advanced packaging, gate-all-around), so revenue can grow faster than wafer starts. *(Structural; wafer-level content not disclosed — flagged.)*

Business Model & Moat

Entegris sells the materials, filtration and purity-control products **consumed inside a fab** — not the capital tools. Two reporting segments as of FY2026:

SEGMENT	Q1'26 SALES	ADJ. MARGIN	WHAT IT IS
Advanced Purity Solutions	\$463.6M	29.1%	Filtration, fluid handling, gas/liquid purity, wafer handling & packaging — the recurring, higher-margin engine.
Materials Solutions	\$351.1M	22.0%	Deposition materials, CMP slurries/pads (ex-CMC), specialty

gases, coatings.

Moat — defensible: qualification lock-in (materials are spec'd into a customer's process; re-qualifying is slow and costly), sub-ppb purity engineering, unit-driven recurring demand.

Commodity-adjacent: bulk chemicals and some hardware. **Peers:** MKS Instruments (MKSI) on purity/handling; DuPont and Merck KGaA electronic-materials units as diversified adjacencies. Segment-level market share: *data unavailable* from primary filings.

Financial Snapshot — as of Q1 FY2026

METRIC	FIGURE	NOTE
Revenue growth	+5% YoY	Sequential: data unavailable in primary form
Adj. op / EBITDA margin	23.6% / 27.8%	GAAP far lower — CMC amortisation drag
EPS (adj / GAAP)	\$0.86 / \$0.60	Net income \$92.0M, +46% YoY
Free cash flow	\$143.5M	~17.7% of sales; FY25 FCF margin 12.7%
Cash	\$442.7M	CapEx guided ~\$250M for 2026 (below 2025)
Debt	\$3.3B net / 3.6x	\$400M variable-rate term loan; −\$50M in Q1, ~\$300M repaid in 2025
ROIC / ROE	data unavailable	Stated, not estimated — GAAP returns depressed by intangibles

PART A · CONTINUED

Valuation, Catalysts & Verdict

Valuation — multiples are source- and date-sensitive; ranges given deliberately

MULTIPLE	LEVEL	RECONCILIATION
Trailing P/E	~100–106x	GAAP artefact of CMC amortisation — do not anchor to it
Forward P/E	~34–49x (cited)	Wide by source/estimate; on annualised adj. EPS the adjusted forward sits low-50s x at ~\$180 — rich. Discrepancy flagged, not averaged.
EV/EBITDA	~24x	EV ~\$21B (mid-May cite)
Peer frame	Semi median fwd P/E ~38.8x	ENTG at a premium to MKSI and the group — justified only if margin recovery AND deleveraging both land
Market cap	~\$27B @ \$179.93	~152M sh (approx). The \$22.1B StockAnalysis figure is dated 13 May at a lower price — a timing artefact, not an error.

Fair value — On a normalised adjusted framework (mid-20s EV/EBITDA on recovering-cycle EBITDA, cross-checked to ~35–45x forward adjusted EPS), a defensible 12-month band is **~\$155–\$185**. At \$179.93 the stock is in the **upper half** of that band — priced for successful execution, limited margin of safety.

Catalysts

- ◆ **Q2 FY2026 earnings — 30 July 2026.** Guide: sales \$815–845M, adj. EPS \$0.76–0.84, adj. EBITDA margin 27.0–28.0%. The bar is the margin line and WFE-recovery commentary. (*Verify time-of-day vs IR before trading it.*)
- ◆ **Deleveraging milestones** toward ~3.0x YE2026 — each paydown is an equity-value transfer and multiple de-risking.
- ◆ **WFE / advanced-node demand prints** — EUV layer counts, advanced-packaging/HBM ramp, GAA transitions that lift content-per-wafer. (*The 01 Jul HF-tightness report sits here — a demand corroborant.*)

- ◆ **China / export-control policy** — double-edged swing factor for demand and shipping.
- ◆ **CMP/materials cross-sell** from CMC integration showing up in MS margin.

Risks & Invalidation Triggers

RISK / MECHANISM	INVALIDATION TRIGGER
Valuation compression — premium to peers on adj. forwards	Q2 adj. EBITDA margin below 27% floor, or FY guide cut
Leverage / rate sensitivity on \$3.3B net debt	Net leverage back above ~3.8x, or FCF margin below ~10%
China export controls remove a demand tranche	Management quantifies a China headwind, or new BIS rule names categories
CMP pricing pressure in Materials Solutions (+ new HF input-cost inflation)	MS segment margin declining sequentially for two quarters

VERDICT

HOLD 12-month target \$180 · range \$155–185

Genuine franchise, margins and deleveraging moving the right way — but at \$179.93 the stock already sits in the upper half of a defensible band and trades at a premium to its closest peer on adjusted forwards. Reasoning chain: normalised adjusted EBITDA × mid-20s EV/EBITDA, cross-checked to ~35–45x forward adjusted EPS → ~\$155–185. Direction is constructive; risk/reward at spot is balanced.

Upgrade to Buy on a confirmed WFE up-cycle inflection or a pullback into that lower zone.

PART B

Technical Brief — Intraday Scoped

One verdict word: *TRIM*. Confirmed bearish divergence plus OBV non-confirmation of a +5% pop is the framework's minimum-*TRIM* condition.

Scope caveat that governs everything below — the client chart is a **1-minute** chart, not the Daily (1D) the template specifies. Every reading here is intraday and valid for **same-session timing only**, not a swing entry or the 12-month thesis. A position-level technical call requires a Daily chart with Fibonacci anchored to the daily swing low → high. No Fib is drawn on the image, so confluence levels are constructed from visible intraday extremes and labelled low-confidence.

Indicator values — read directly off the chart

PRICE	EMA 9 / 21 / 50	SMA 200	RSI 14	ATR 14
179.93	~180.9	178.51	36.09	0.51
+5.16% · high 182.39	price below fast stack	last shelf held	below signal 49.59	rising sharply

#	READ	INTERPRETATION
1 · Trend phase	Intraday Distribution → early Markdown	Price ran to 182.39, rolled over, lost EMA 9/21/50; expansion-volume down-bar. Longer trend not determinable from a 1m chart.
2 · Fibonacci	Not drawable with confidence	No Fib plotted. From visible extremes (high 182.39, swing low ~179.4–179.7) price is in the deep-retrace / lower third. Illustrative only.
3 · EMA + Fib confluence	Supply \$180.7– 181.2 · support \$178.5	Fast EMAs stacked overhead cap rallies; SMA 200 at \$178.5 is the intraday line in the sand.

4 • RSI + divergence	Confirmed bearish divergence	Chart's own "Bear" tag at the highs; RSI broke signal, fell to 36. Momentum with sellers.
5 • OBV	Institutional distribution	OBV crossed below signal and dived on a +5.16% up-day — price up, flow leaving. OBV trumps RSI: non-confirmation of the pop.
6 • ATR	0.51 (scalp-scale)	1.5–2.0x ATR $\approx$ \$0.77–1.02 wide; clean invalidation = close below \$178.5.

Trade Construction — intraday scalp only, not a position trade

PARAMETER	LEVEL
Bias	Fade strength / do not chase the +5.16% pop
Reclaim trigger (flips near-term)	Close back above \$181.2 (EMA shelf)
Invalidation	Close above \$181.2
Downside Target 1	\$178.5 (SMA 200 shelf)
Downside Target 2	~\$177.0 (intraday range base)
R/R to T1 / T2	~1.9:1 / ~4.9:1 (scalp math, tiny absolute size)

TECHNICAL VERDICT

TRIM Intraday • do not chase

Confirmed bearish divergence + OBV non-confirmation of a +5% move is the framework's explicit minimum-TRIM condition. This is a short recommendation and a position-level call — it says don't chase this pop intraday; wait for either a reclaim of \$181.2 or a flush to the \$177–178.5 shelf. A genuine BUY / SELL / WAIT position call requires the Daily chart.

PART C

Fundamental / Technical Alignment

The two horizons conflict at spot — and that is not a contradiction. They run on different clocks.

HORIZON	CALL	WHAT IT GOVERNS
Fundamental (12-month)	HOLD, constructive-on-weakness	Direction & sizing. Up-and-to-the-right on deleveraging + margin recovery, but \$179.93 is in the upper half of the \$155–185 band — accumulate lower, not here.
Technical (intraday)	TRIM / don't chase	Entry timing. Confirmed bearish divergence + OBV distribution on today's +5% says the tape is handing stock off, not accumulating.
News (01 Jul HF report)	Demand corroborant	Firms the demand leg; a plausible partial driver of the theme-led pop — which reinforces "don't chase," not "buy the spike."

They agree on the actionable conclusion: **do not chase strength today**. The technical call governs *entry timing* — wait for a flush toward the mid-\$150s–low-\$160s the fundamental band also favours, or an intraday reclaim of \$181.2 that resets micro-structure. The fundamental call governs *direction and sizing* — constructive franchise, premium valuation capping upside until the 30 July print and the WFE cycle confirm. **Net: patience. Let price come to the level; don't pay up into distribution ahead of earnings.**

Data-integrity flags carried through this report

1. Chart timeframe mismatch — 1-minute, not the Daily the template specifies; Part B scoped to intraday.
2. No Fibonacci drawn — confluence levels constructed from visible intraday extremes, low-confidence.
3. Today's +5.16% move has no single verified primary-source catalyst; the HF report is a plausible theme driver, not a confirmed ENTG-specific cause.
4. Valuation multiples reconciled across sources with as-of dates rather than averaged.

Sources

Entegris Q1 FY2026 8-K / press release — SEC EDGAR (30 Apr 2026):
sec.gov/Archives/edgar/data/0001101302/.../entgq12026ex991.htm · Q1 FY2026 earnings call transcript — Motley Fool ·
 Net debt / leverage / FCF / Q2 guide — Seeking Alpha, StockTitan · Next earnings date (30 Jul 2026) — Investing.com,

Seeking Alpha · Valuation & market cap — StockAnalysis, GuruFocus · Peer context (MKSI, industry median) — StockAnalysis, Simply Wall St · Electronic-grade HF supply / suppliers — Future Market Insights, SunSirs, GlobeNewswire, ResearchNester · News item — Tiger Brokers Top News (01 Jul 2026, 10:17).

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